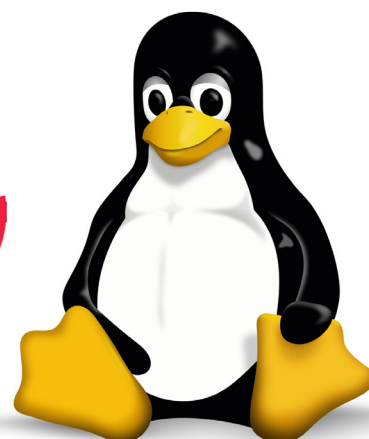


# Microsoft and its Relationship with Open Source

Microsoft and its evolving relationship with the open source paradigm is a good case study into how breakthrough technologies can revolutionise an industry, and how big corporations have a hard time adapting to them. In this article, we take a deep dive into the history of Microsoft's relationship with open source and gather some key insights from this story.



**T**he changing relationship between Microsoft and open source technology has been well documented. On the face of it, it seems straightforward. Microsoft makes proprietary software and the open source paradigm threatens that model, given that open source by definition means making the source code public. Therefore, it only seems logical for Microsoft to have resisted this change. Why, then, did this resistance turn out to be futile for Microsoft and many other companies that followed in its footsteps?

This is an important case study because it emulates a recurring pattern in big tech companies and their resistance to adapting to disruptive technologies. This might sound counterintuitive. One would expect breakthrough technologies to be adapted by tech companies faster than

others. But that is rarely the case. We shall discuss more on this towards the end of the article.

## Microsoft and 'free software': From 1970s to 1990s

In 1974, Bill Gates with his longtime friend Paul Allen, started work on creating the first BASIC interpreter for the Altair 8800. In 1975, they co-founded Microsoft, a software company that would sell proprietary software. However, by 1976, the BASIC interpreter written by Gates and Allen was being used for a variety of hobbyist projects. The copying and distribution of the BASIC interpreter was easy, and programmers had found quick workarounds to pirate the technology and use it in their own machines.

The sales for BASIC started to drop, as people started opting for cheaper or free alternatives that were

being shared by other developers. This prompted Bill Gates to write an open letter to the community of free software hobbyists in which he heavily criticised the trend of free software distribution. In the letter, Gates pointed out that to use a programmer's code without paying him or her for the time and effort put into making it was unauthorised copying, and would discourage the developer community from innovating.

This was in opposition to the stance of the free software community that saw making software proprietary and hiding the source code as a form of monopolisation of technology and disempowerment of the masses. By making the source code public, the technology stayed transparent, secure, accountable, and adaptable, which encouraged developers from all spheres of income and knowledge levels to contribute and innovate in an inclusive manner.